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25 LOAN OFFICERS GOT A BILL FOR LEAVING.

Not a severance check. A demand for cash, over a clause most people never reread.

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ONE LENDER SAYS DOING BUSINESS WITH ITS OLD CUSTOMERS IS ALREADY A BREACH.

No outreach required. Just doing the work counts, under the company's own reading of the clause.

THE WORD "SOLICIT" DID MORE WORK THAN ANYONE SIGNING REALIZED.

This happened to mortgage loan officers, not real estate agents, but the clause is the same kind many agents sign. CrossCountry Mortgage sent cease-and-desist letters to at least 25 former loan officers, invoking a two-year non-solicitation clause and arguing any loan written for a past, present, or future CCM customer counts as a violation, with no actual outreach needed. The letters demand 75 basis points on each refinanced loan, from a few thousand dollars to nearly $20,000. 843 loan officers left the company in the past 14 months.

BEFORE YOU SIGN ANYTHING WITH A NON-SOLICITATION CLAUSE:

1 **Find the actual definition of "solicit" in your own agreement.**

Some contracts count any service to a past client as a violation, not just an invitation.

2 **Check the time window.**

Two years is common. Know the exact date it starts and the date it ends.

3 **Ask what happens to clients you brought with you.**

A clause written to protect the company's clients can get applied to yours too.

4 **Get a real answer before you leave, not after a letter arrives.**

A lawyer reads the clause once. A cease-and-desist letter reads it for you.

THE TAKEAWAY

READ THE WORD "SOLICIT" IN YOUR OWN AGREEMENT THIS WEEK.

Know what it actually restricts before you're the one getting the letter.

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